



ACCOUNTING

DOUBLE-ENTRY

BOOK 2

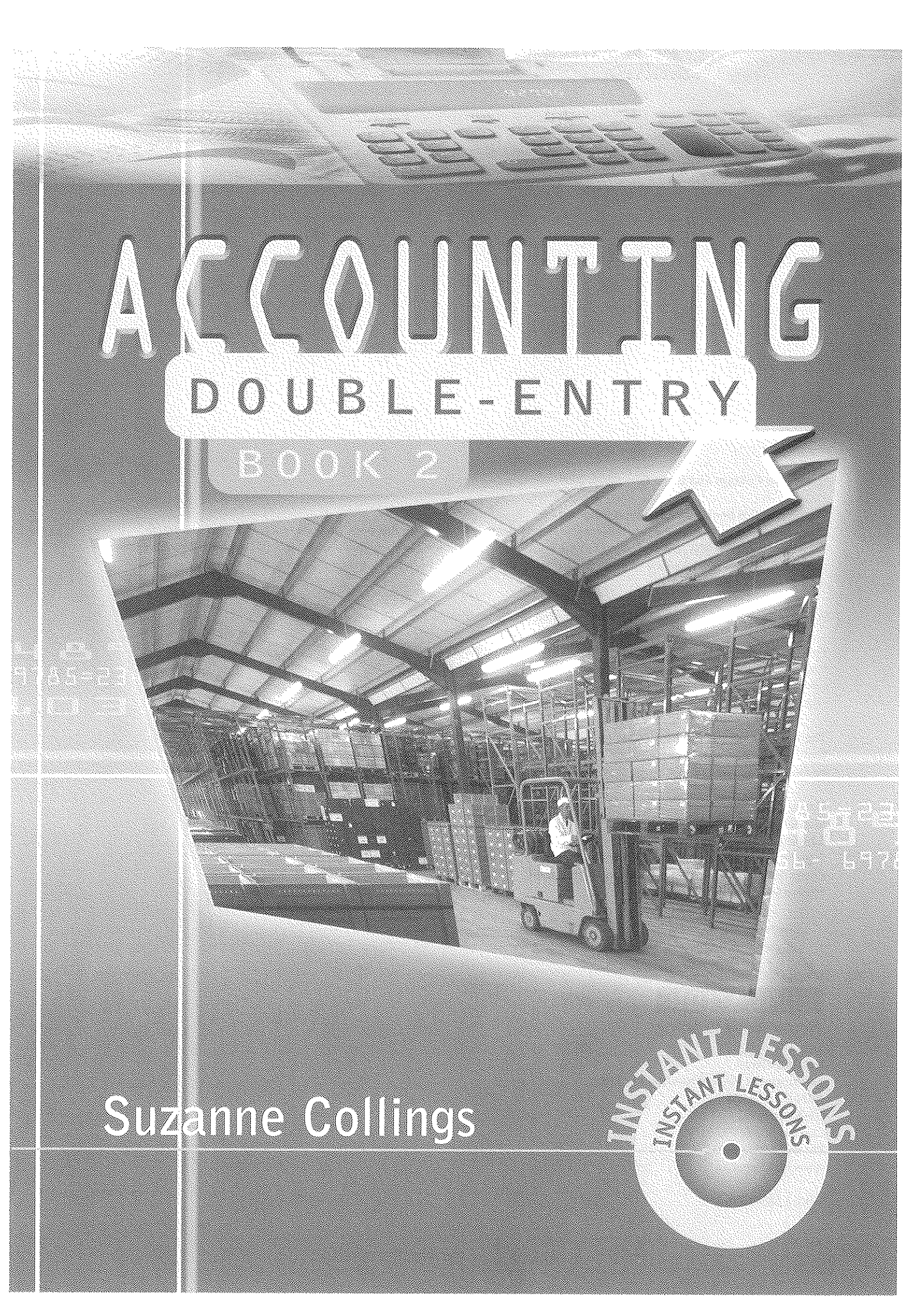


Suzanne Collings



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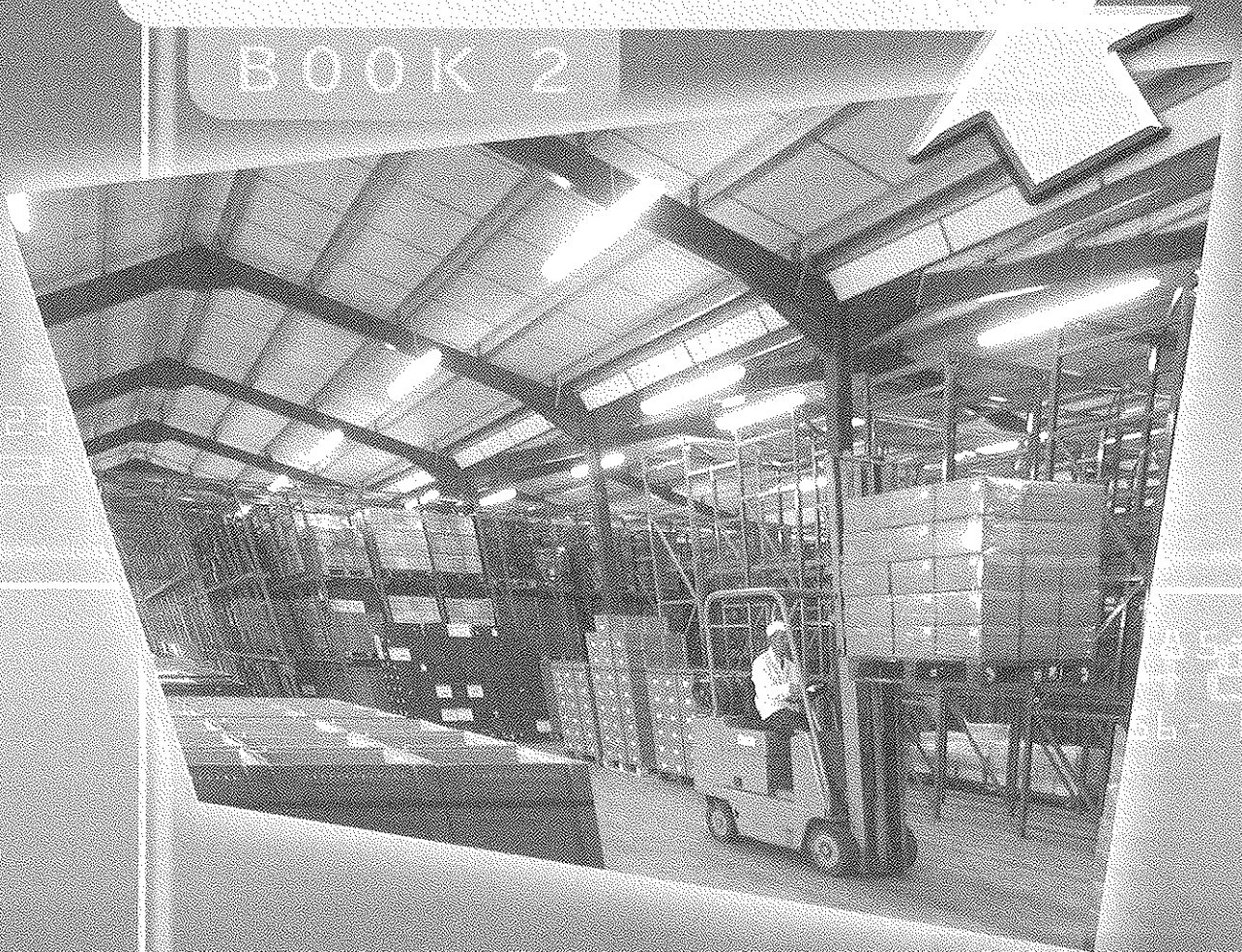


A close-up, grayscale image of a calculator's keypad serves as the background for the top half of the book cover.

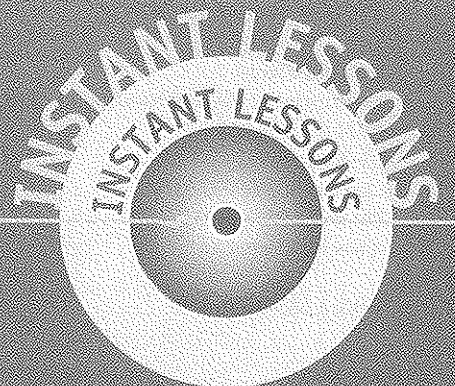
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DOUBLE-ENTRY

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Suzanne Collings



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Introduction

Instant Lessons in Accounting Book 2 is part of a three-book series that provides self-contained practical worksheets for senior students of double entry accounting. The content of the whole series is wide ranging and will suit various state syllabuses.

There is a range of activity styles to challenge student understanding, including completion of journals, ledger accounts, preparation of reports, graphs, written answers to theory questions as well as matching of terms and completion of crosswords.

Most of the worksheets provide space for students to answer directly on them; a few require students to use their own workbooks. Selected answers are provided to assist in marking.

Contents

1	Transactions and accounts	4
2	Transactions to trial balance	6
3	Special journals	8
4	Subsidiary ledgers/control accounts	10
5	Stock control	12
6	Stock adjustments	13
7	General journal – non-recurring entries	16
8	Depreciation	18
9	Balance-day adjustments (accrued revenue and expense)	20
10	Balance-day adjustments (prepaid revenue and expense)	22
11	Special journals with GST	24
12	Journals to trial balance (1)	26
13	Journals to trial balance (2)	28
14	Reports for trading businesses (1)	30
15	Reports for trading businesses (2)	32
16	Closing entries	34
17	Statement of cash flows	36
	Glossary	37
	Selected answers	38

1 TRANSACTIONS and ACCOUNTS

Terms you should know

Transactions – an economic or financial event in the life of the business

Accounts – a record of transactions of the same type

Balancing of accounts – calculation and recording of the differences between the debit amounts and the credit amounts in an account

Credit – item which is recorded on the left hand side of an account

Debit – item which is recorded on the right hand side of an account

Double entry – system used for the recording of transaction in a ledger. Two entries are made for each transaction.

Footling – calculation of the balance of an account

Ledger – book of accounts – a book used to record all of the transactions that have been summarised into separate accounts.

- What do you understand by the term 'double entry'?
- Listed below are the types of transactions that affect the accounting equation. For each, decide if it should be entered as a debit or a credit.

Debit or credit?	Type of transaction	Debit or credit?	Type of transaction
	Decreases in assets		Decreases in revenues
	Decreases in liabilities		Decreases in expenses
	Increases in expenses		Increases in liabilities
	Increases in proprietorship		Increases in assets
	Increases in revenues		Decreases in proprietorship

- Why is it important to complete the details columns in the accounts?

- Calculate the missing amounts in the accounts below.

Bank	
Balance	4 163
Cash receipts	264 721
	(1 038)

Loan	
	Balance 150 000
	(140 000)

- Complete the accounts below using the information included already. Balance the bank account.

Sales	

Bank	
Sales	30 000
Balance	7 142
Advertising	4 000

Office Equipment	
Bank	20 000

Advertising	

6 Post the following transactions into the accounts provided and foot the accounts as appropriate.

- Jan 1 Pay \$5 000 off the loan
- 2 Banked \$15 000 from fees earned
- 3 Paid \$11 000 for general office expenses
- 4 A customer was given a refund \$1000 (overcharged)
- 5 Purchased new vehicle \$25 000 cash
- 6 Owner drew \$500 for own use.

Bank	
Balance	5 650

Motor Vehicle	
Balance	35 000

Fees Earned	

Capital	
Balance	20 650

Loan	
Balance	20 000

General Office Expenses	

7 Explain 3 advantages of using double entry accounting.

a

b

c

8 Read each of the following statements carefully and decide if it is true or false.

Statement	True or False
Debits in the capital account are increases in proprietorship	
Expenses decrease proprietorship	
A ledger is a book made up of records summarised into groups of like transactions	
Fees earned of \$6000 cash are debited in the bank account	
Drawings of equipment by the owner are debited in the equipment account	
If there are a greater number of entries on the credit of an account then it must be a credit balance	
Only accounts with more than one entry need to be footed.	

2 TRANSACTIONS to TRIAL BALANCE

Terms you should know

Account – a record of transactions of a particular type

Credit – item which is recorded on the left hand side of an account

Debit – item which is recorded on the right hand side of an account

Transaction – an economic or financial event in the life of the business

Trial balance – a listing of all of the balances in the ledger to check that the total of the debits equals the total of the credits

1 Explain what is meant by the term 'transaction'.

2 What is an account?

3 Some of the cross-references in the account below are incorrect. Make the changes so that they are right. Foot the account.

Stock			
Balance	14 555	Cr sales	133 780
Cr purchases	245 000	Purchase returns	1 560
Sales returns	3 500		

Stock	

4 Explain the purpose of preparing a trial balance.

5 For each of the transactions below, give the accounts to be used, whether it will be debited or credited and the reason for the decision.

Transaction	Accounts	Dr or Cr	Reason
Pay wages \$1500	Wages Bank	Debit Credit	Debit increases in expenses Credit decreases in assets
Pay \$2000 off a loan from the bank			
Pay \$500 interest on the loan			
Draw \$2000 for owner's private use			
Sell stock on credit \$10000 (cost \$7000)			

6 Post the transactions below to the accounts on the next page, foot the accounts, where necessary, and prepare a trial balance at March 9.

March 1 Purchase stock on credit \$5 000

March 2 Cash sales \$500 (cost \$200)

March 3 Payment of advertising \$700

March 4 Payment to creditors \$3 000

March 5 Credit sales of stock \$2 000 (cost \$600)

March 6 Debtor returned goods \$200 (cost \$60)

March 7 Debtor paid \$1 000

March 8 Bought office supplies \$200 credit

2 Transactions to Trial Balance (cont)

Bank	

Stock	

Sales Returns	

Creditors	

Office Supplies	

Sales	

Cost of Goods Sold	

Debtors	

Advertising	

Sundry Creditor	

Trial Balance at 9 March		
	Debit	Credit

7 Read the following and answer True or False.

Statement	T or F?	Statement	T or F?
Action for Purchases of Office supplies is: Dr Bank, Cr Office Supplies		Prepaid expenses are debited	
the trial balance balances, this means that. all posting is correct		The amount for telephone expense has been posted to Electricity. To fix, Electricity will be credited	
Increases in proprietorship are credited.		Increases in Drawings are credits.	

3 SPECIAL JOURNALS

Terms you should know

Cash payments journal – a record book used for all payments of cash by the business

Cash receipts journal – a record book used for all receipts of cash by the business

Purchases journal – a book used to record all purchases of trading stock on credit

Sales journal – a book used to record all sales of trading stock on credit

1 Why are special journals used?

2 Explain the purpose of the sales journal and the purchases journal.

3 Fill the gaps in the sales journal. The business uses a mark-up of 150%

Date	Details	DOC	Cost	Selling	GST	Total
April 4	P Chamberlain	4421	300	750	75	?
7	C Norman	4422	500	?	?	?
10	B Pryke	4423	?	1125	?	?
12	G Rush	4424	130	?	?	?
			?	?	?	?

4 Prepare the accounts provided in creditors subsidiary ledger and the general ledger using the relevant information in the purchases journal and the cash payments journal. Prepare a creditors schedule at 15 May.

Purchases journal

Date	Details	DOC	Cost	GST	Total
May 9	Paint Products Ltd	PP456	8 500	850	9 350
15	Wallpaper Designs Pty Ltd	WD34	12 400	1 240	13 640
			20 900	2 090	22 990

Cash payments journal

Date	Details	DOC	Creditors	GST	Bank
May 5	Australian Taxation Office	4165		4 500	4 500
10	Wallpaper Designs Pty Ltd	4166	10 800		10 800
18	Paint Products Ltd	4167	5 200		5 200
			16 000	4 500	20 500

Creditors subsidiary ledger

Paint Products Ltd		
	Balance	5 200

Wallpaper Designs Pty Ltd		
	Balance	10 800

4 SUBSIDIARY LEDGERS/CONTROL ACCOUNTS

Terms you should know

Creditors control account – an account in the general ledger that summarises the transactions that have been recorded in detail in the creditor's subsidiary ledger

Creditors subsidiary ledger – a ledger that contains all the details of transactions with the individual creditor

Debtors control account – an account in the general ledger that summarises the transactions that have been recorded in detail in the debtor's subsidiary ledger

Debtors subsidiary ledger – a ledger that contains all the details of transactions with the individual debtor

Discount allowed – a reduction in the amount payable by debtors if they pay their accounts within a specified period. An inducement to settle debts promptly.

Discount received – a reduction in the amount payable to a creditor if the account is paid within a specified period.

Purchases returns – goods returned to suppliers

Sales returns – goods returned by customers

- 1 Explain, giving 2 reasons, why some businesses will use control accounts and subsidiary ledgers in their accounting system.

- 2 Explain why many businesses offer credit to their customers.

- 3 Why do some businesses offer discounts to their customers?

- 4 What other methods can be used to increase debtors payments?

- 5 What are the problems and costs to the business if customers return goods?

- 6 Why can the balance of the debtors showing on the statement of financial position (balance sheet) be misleading?

- 7 Fill in the gaps in the following sentences:

Merlin Products use _____ ledgers for debtors and creditors. Pat, the accounts clerk, keeps _____ for each entity. The posting to the _____ account is the total of all of the entries in the _____. At the end of the accounting period, these records are _____ with the balance of the _____ account in the general ledger. A _____ is prepared to reflect this.

8 Explain what you understand by the term 'bad debts'.

9 Post the following journals to the ledger accounts provided. Foot the accounts where appropriate. On a separate sheet of paper, prepare a schedule to reconcile the subsidiary ledger with the Debtors control account.

Cash receipts journal

Date	Details	Cost	Selling	GST	Debtors	Sund.	Bank
Aug 1	Cash sales	400	800	80			880
3	Bird's Bakery				6 500		6 500
9	Cash sales	720	2 500	250			2 750
12	Vigor Breads				6 000		6 000
24	Carey Confectionery				4 400		4 400
		1 120	3 300	330	16 900		20 530

Sales journal

Date	Details	Doc	Cost	Selling	GST	Total
Aug 6	Bird's Bakery		1 000	2 600	260	2 860
10	Water Wheel Mills		2 700	7 500	750	8 250
16	Vigor Breads		1 900	5 700	570	6 270
19	Carey Confectionery		800	2 400	240	2 640
			6 400	18 200	1 820	20 020

Debtors subsidiary ledger

Bird's Bakery		
Balance	6 500	

Water Wheel Mill		
Balance	11 900	

Vigor Breads		
Balance	8 100	

Carey Confectionery		
Balance	4 400	

General ledger

Debtors Control		
Balance	30 000	

GST Liabilities		

Cost of Goods Sold		

Sales		

5 STOCK CONTROL

Terms you should know

FIFO – First In First Out – system of recording and stock management that uses the oldest stock on hand when sales are made

Identified cost – a system of stock recording and stock management where each item is tagged and identified with the actual cost

Stock cards – a record of all movements of stock into and out of the business

Stock control account – an account in the general ledger that summarises the stock movements that have been recorded in detail in the stock cards

1 Explain the purpose of keeping stock cards.

2 Using FIFO, fill the gaps (marked by ?) on the stock card.

Date	Reference	In			Out			Balance		
		Qty	Cost	Total	Qty	Cost	Total	Qty	Cost	Total
1/6	Balance							25	15	?
1/6	Inv 406	40	15	?				?	?	?
2/6	Inv 941				?	?	?	55	?	?
6/6	Inv 946				16	?	?	?	?	?
10/6	Inv 1076				?	?	?	20	?	?
15/6	Inv 425	25	18	?				20	15	?
								?	?	?

3 Record the following transactions on the stock card and into the stock control account in the general ledger.

Aug 4 Greendale Nursery purchased 50 pot plants from Wonder Seeds for \$6 each

Aug 8 Sold 50 pot plants for \$13 each

Aug 9 Bought 46 pot plants for \$6.50 each

Aug 5 Sold 20 pot plants for \$12 each

Pot plants

Date	Reference	In			Out			Balance		
		Qty	Cost	Total	Qty	Cost	Total	Qty	Cost	Total
1/8	Balance							33	5	165

Extract from general ledger

Stock Control	
Balance	165

Does the balance of the stock account agree with the balance of the stock card?

4 Which of the following describes the effect of a shortage in delivery of stock to a customer of $10 \times \$100$?

- a Stock loss of \$1000
- b Overstatement of cost of goods sold \$1000
- c Overstatement of net profit of \$1000
- d Stock gain of \$1000

5 Read each of the following statements and decide if it is true or false.

Stock cards are used to record stock purchased and sold on credit	
FIFO means First In Last Out	
FIFO will give a higher balance for stock at the end and a lower cost of goods sold in times of rising prices	
The total of the balances of all stock cards should equal the balance of the Stock Control account	
All entries in to stock cards are made at the end of every week	

6 Complete the Stock Control account with the details of the transactions below. Balance the account at the end of the period.

Balance of stock account 1 September \$72 400

- 1 Sept Purchased stock on credit \$267 000
- Returns of stock from customer \$650 (cost \$320)
- Sales of stock on credit \$720 000 (cost \$309 000)
- Returns of stock to supplier \$4 500

Stock at 30 September showed stock in the warehouse to be \$26 500

Stock Control	

7 Match the terms in the second column with the definitions in the last column.

A	Double entry recording		Goods returned by the customer
B	Control account		Calculation of the balance of an account
C	Account		A book of accounts
D	Subsidiary ledger		A system of recording financial events which requires two entries for each transaction
E	Stock card		A record of transactions of a particular type
F	Returns In		An account used to summarise the individual records
G	Ledger		A book of record for details of an account in the general ledger
H	Footings		A record of every movement of stock

6 STOCK ADJUSTMENTS

Terms you should know

Stock gain – the total value of stock in the warehouse is greater than the value of stock in the records

Stock loss – the total value of stock on the records is greater than the value of the stock in the warehouse

Stock take – counting and valuing of stock owned by the business

Stock write down – a downward adjustment in the value of the stock

- 1 Why is it necessary for a trading business to carry out a stock take?

- 2 Easy Enterprises carried out a stock take on June 30 which showed that there were 445 office chairs in stock, valued at \$100 each. Record the adjustment on the stock card and prepare a general journal entry to reconcile the two sets of records.

Stock card

Date	Reference	In			Out			Balance		
		Qty	Cost	Total	Qty	Cost	Total	Qty	Cost	Total
30/6	Balance							447	100	44 700

General journal

- 3 Explain the effect of a stock gain on the accounting equation.

- 4 Which of the following can cause a stock gain?

- A Delivery of 35 items to a customer after 40 had been ordered and recorded.
- B Delivery of 80 from a supplier when 85 had been ordered and recorded.
- C A return of 12 items from a customer had been recorded as 10
- D The owner took home 30 items for private use which has not been recorded
- E A return to the supplier of 15 items has been recorded as 18.

- 5 Prepare a statement of financial performance (on the template over the page) for Genuine Products for the year ended 30 June 2005 from the following information.

- Sales \$650 000,
- General expenses \$100 000
- Sales returns \$12 000
- Stock loss \$4 100
- Cost of goods sold \$295 000.

- 6 Use the information below to complete the cost of goods sold account and the stock control account for the year ended 30 June 2005 (including the balancing).

Purchases of stock on credit \$520 000, Sales of stock on credit \$950 000 (cost price \$530 000), Returns from customers (cost price \$4 600), Returns to suppliers \$8 700, Balance 1/7/04 \$77 000. The stock take at 30 June 2005 showed that there was stock valued at \$65 400 on hand.

Cost of Goods Sold		Stock Control	

- 7 Prepare the journal entry required to record the effect of the information below.

The stock control account has a balance of \$133 000 at 30 June 2005. The stock take showed the value of the stock on hand to be \$135 000.

Date	Details	Folio	Debit	Credit

- 8 Universal Joints has 400 items of Line A on hand, valued at \$10 each. At 30 June 2005 they have been notified by the supplier that a new model is to be introduced. The owner decides that he can only sell the old model for \$6 each to clear the remaining stock.

- a What is the effect of this on the accounting equation? _____
- b Record this information on the stock card for Line A.

Date	Reference	In			Out			Balance		
		Qty	Cost	Total	Qty	Cost	Total	Qty	Cost	Total
30/6	Balance							400	10	4000

- c Prepare a general journal entry to record this adjustment.

Date	Details	Folio	Debit	Credit

7 GENERAL JOURNAL – NON-RECURRING ENTRIES

Terms you should know

Bad debts – amounts which cannot be collected from debtors

General journal – a record book used for transactions that are infrequent

Non-recurring entries – entries in a general journal – transactions which occur infrequently therefore do not have a special journal

Opening journal entry – an entry in the general journal to establish the existing balances for the double entry system

Stock gain (or loss) – the total value of stock in the warehouse is greater (or less) than the value of stock in the records

- 1 Explain the purpose of the opening journal entry.
 - 2 Why would a business prepare a general journal entry to record a bad debt?
 - 3 Which of the following is the correct general journal entry for a bad debt incurred when L. Moses is declared bankrupt owing \$2000. The creditors are to receive 40 cents in the \$.
- A Debit Bad Debts \$2000, Credit Debtors (Moses) \$2000
 - B Debit Bank \$800, Credit Debtors (Moses) \$800
 - C Debit Bad Debts \$1200, Credit Debtor (Moses) \$1200
 - D Debit Bank \$1200, Credit Debtors (Moses) \$1200
- 4 Prepare the general journal entry required to record the purchase by Melrose Motors of office equipment on credit from Style Office \$15 000 on 1 January 2005. Show the narration.

Date	Details	Folio	Debit	Credit

- 5 Which of the following is the correct general journal entry to record the adjustment required for the following: Stock records of Melton Spare Parts show \$45 000 stock on hand. The stock take shows \$45 500.
- A Debit Stock Control \$45 500, Credit Cost of Goods Sold \$45 500
 - B Debit Stock Loss \$500, Credit Stock Control \$500
 - C Debit Stock Control \$500, Credit Stock Adjustment \$500
 - D Debit Cost of Goods Sold \$500, Credit Profit \$500
- 6 The owner of Melton Spare Parts takes home an office desk for private use \$800 on 30/9/05.
- a Prepare a general journal entry to record this event.

Date	Details	Folio	Debit	Credit

- b What is the effect on the accounting equation if this is not recorded?

7 General journal – non-recurring entries (cont)

- 7a** Prepare the general journal entry (with narration) to record the transaction shown in the ledger accounts below.

Date	Details	Folio	Debit	Credit

- b** Balance the accounts.

Computer	
Balance	45 000
Capital	10 000

Capital	
Balance	160 000
Computer	10 000

- 8** List 2 differences between an entry in the general journal and an entry in a special journal.

- 9** Finish the opening journal entry for Micro Computers, write the narration and post the entry to the ledger accounts.

Date	Details	Debit	Credit
Mar 1	Stock	50 000	
	Debtors	60 000	
	Office Equipment	25 000	
	Creditors		55 000
	Accum. Deprec of OE		9 000
	Bank		6 300

- 10** The accountant for Melrose Motors posted the amount for the telephone account (\$250) to the Printing account in the ledger. Prepare the general journal entry required to fix this at 30 June 2005.

Date	Details	Folio	Debit	Credit

8 DEPRECIATION

Terms you should know

Depreciation – allocation of the cost of a non current asset against revenue

Accumulated depreciation – the total of the depreciation which has been written off from a non current asset

Allocated cost – the total depreciation which has been written off against revenue (accumulated depreciation)

Carrying value – the written down value of a non current asset

Reducing balance method – a method of calculating depreciation based on the written down value (carrying value) of the asset

Residual value (scrap value) – the difference between the cost of a non current asset and the accumulated depreciation which has been written off so far

Straight line method – a method of calculating depreciation based on the cost of the asset

- 1 'Some assets are depreciated and some aren't and I don't know which is which.' Explain the difference between the two groups to the owner of Jerome Jones Interiors.
- 2 Explain why it is not good accounting practice to write off the full purchase cost of a non current asset in the period in which it was purchased.
- 3 Why is an item for depreciation included in a statement of financial performance but not in a statement of cash flows?
- 4 What is the effect on the accounting equation if depreciation is not recorded in an accounting period?
- 5 On 1 July 2003 Jerome Jones Interiors purchased a motor vehicle for visiting clients. The cost was \$40 000, it is expected to last 5 years and to have a residual value of \$8 000.
Using both the straight line method and the reducing balance method, calculate:
 - a the depreciation for year ended 30 June 2005
 - b the accumulated depreciation at 30 June 2005
 - c the carrying value at 30 June 2005

	Straight line method	Reducing balance method
Depreciation for year ended 30 June 2005		
Accumulated depreciation at 30 June 2005		
Carrying value at 30 June 2005		

- 6 Explain the effect on the accounting equation of Jerome Jones Interiors of using the straight line method rather than the reducing balance method for calculating depreciation.

- 7 Prepare graphs below to show the depreciation charged over 4 years for the motor vehicle, the accumulated depreciation and the carrying value at the end of each accounting period (using the straight line method only).

Depreciation					Accumulated Depreciation					Carrying Cost				
					30 000									
					25 000					40 000				
8 000					20 000					32 000				
6 000					15 000					24 000				
4 000					10 000					16 000				
2 000					5 000					8 000				
	'04	'05	'06	'07		'04	'05	'06	'07		'04	'05	'06	'07

- 8 What factors would a business consider when deciding whether to use the straight line method or the reducing balance method for the calculation of depreciation?

- 9 Jerome Jones Interiors purchased office equipment for \$20 000 on 1 January 2004. It was expected to last 10 years and have no scrap value at the end.

- a Using the straight line method, calculate the depreciation for year ended 30 June 2004, and 30 June 2005, and the accumulated depreciation at 30 June 2005

--

- b Show the general journal entry required to record the depreciation for year ended 30 June 2005

Date	Details	Folio	Debit	Credit

- c Post this entry to the ledger

- d Jerome Jones decided to sell the equipment at 31 December 2006 for \$15 000. Does this represent a profit or a loss on the sale of the equipment. How much is the profit or loss?

9 BALANCE-DAY ADJUSTMENTS (ACCRUED REVENUE and EXPENSE)

Terms you should know

Accrued expenses – an expense that is incurred before it is paid

Accrued revenue – revenue that is earned before it is received

Balance-day adjustments – adjustments prepared at the end of the accounting period so that the principle of accrual accounting is adhered to (so that the results for the accounting period reflect the activity which actually took place)

- Under what circumstances is it good accounting practice to prepare balance-day adjustments?
- What is the effect on the accounting equation when an adjustment is made for accrued revenue?
- What is the effect on the accounting equation if an adjustment is NOT made for an accrued expense?
- Prepare the general journal entry for the payment of wages (\$5000) shown on the time line as the shaded area.



General journal

Date	Details	Folio	Debit	Credit

- What is the accounting principle or qualitative characteristic relevant to the preparation of balance-day adjustments?

- Write the general journal entry that would have been prepared for the entry in the ledger accounts.

Interest Revenue		
	30/6/05 Balance	4 000
		600

Accrued Revenue	
600	

Date	Details	Folio	Debit	Credit

9 Balance-day adjustments (accrued revenue and expense) (cont)

- 7 At 30 June 2005, the balance in the telephone account is \$4 200 and Interest Revenue is \$1 600. Write the narrations for the following general journal entries at 30 June 2005, and then post the entries to the ledger accounts.

Date	Details	Folio	Debit	Credit
30/06/05	Telephone		176	
	Accrued expenses			176
"	Accrued Revenue		300	
	Interest Revenue			300

How much is the expense for telephone for the accounting period ended 30/06/05?

How much is the interest revenue for accounting period ended 30/06/05?

- 8 Redraft the statement of financial performance below to reflect the effect of the adjustments shown.

	Draft	Redraft
Sales	450 000	
Less Cost of Goods Sold	160 000	
Gross Profit	290 000	
Stock adjustment		
Adjusted Gross Profit		
Less Expenses		
Rent	16 000	
General Office expenses	25 000	
Wages	89 000	
Motor vehicle expenses	17 000	
Advertising	20 000	
Total expenses	167 000	
	123 000	
Interest revenue	3 000	
Net Profit	\$126 000	

Adjustments

- Interest on term deposit earned but not yet received \$200
- Wages unpaid 16/6 to 30/6 \$6 000 per week
- Advertisements shown on TV but not yet paid – 4 weeks \$10 000, commencing 23/6
- Stock take 30/6 showed \$26 700 stock on hand. Stock account shows \$27 500
- Customer declared bankrupt 29/6 owing \$4 000. Will receive 10c in \$

- 9 Read the statements below and decide if they are True or False.

Commission paid in the year ended 30/6/05 is \$16 000, Commission owing to sales staff for June sales \$2 600. The commission paid will decrease the cash flow in the year ended 30/6/05 by \$18 600.	
Accrued interest revenue at 30/06/05 will increase profit in the year ended 30/6/06.	
Payment on July 29 of motor vehicle expenses accrued at 30 June 2005 will not increase expenses for the year ended 30 June 2006.	
The payment (above) of motor expenses will not be included in the statement of cash flows for year ended 30 June 2006.	

- 10 State how the payment of advertising \$15 000 on 12/7/05 for year ended 30/6/05 will affect:

- Statement of financial position 30/6/05 _____
- Statement of cash flows for year ended 30/6/05 _____
- Statement of financial performance for year ended 30/6/06 _____

10 BALANCE-DAY ADJUSTMENTS (PREPAID REVENUE and EXPENSE)

Terms you should know

Balance-day adjustments – adjustments prepared at the end of the accounting period so that the principle of accrual accounting is adhered to (so that the results for the accounting period reflect the activity which actually took place)

Prepaid expenses – an expense that is paid before it is incurred

Prepaid revenue – revenue that is received before it is earned

- 1 What is the effect on the statement of financial position when an adjustment is done for prepaid revenue?

- 2 What is the effect on the statement of financial position when an adjustment is NOT done for prepaid expenses?

- 3 Rent is paid \$4 800 on March 1 2004 for 6 months. Label the timeline to show how much of the payment falls within the year ended 30 June 2005, and the part that falls in another period.

1/07/04

30/06/05

Accounting period

- 4 An insurance premium is paid on 31 March 2004 for 12 months \$7 200. What effect does this have on:

- a Statement of financial position at 30 June 2004 _____
- b Statement of financial performance for year ended 30 June 2005 _____
- c Statement of cash flow for year ended 30 June 2005 _____

- 5 Annual magazine subscriptions are due and received on 30 April of each year \$120 000.

- a Prepare the general journal entry which is necessary at 30 June 2005 so that the principles of accrual accounting are adhered to.

General journal

Date	Details	Folio	Debit	Credit

- b Post this entry to the ledger

- c What would be the effect on the accounting equation if this entry were not done?

6 Read the statements below and decide if they are True or False.

Prepaid revenue \$12 000 at 30 June 2005 will understate proprietorship if it is not adjusted on balance day	
Rent paid in year ended 30 June 2005 is \$18 000. A payment for rent was made on 30 April 2004 for 6 months \$9 600. Rent expense for year ended 30 June 2005 is \$24 400	
Current liabilities will be overstated if prepaid expenses are not adjusted on balance day	
Proprietorship is increased when an adjustment is made for prepaid expenses	
Insurance expense paid for year ended 30 June 2005 was \$2 620. The last payment of \$130 on June 15 included 2 weeks for July 2005. The insurance expense for year ended 30 June 2005 is \$2 490	

7 Prepare the general journal entry required at 30 June 2005 if advertising for 4 months \$16 000 was paid on 15 May 2005.

Date	Details	Folio	Debit	Credit

8 Redraft the statement of financial performance below for year ended 30 June 2005 to reflect the effect of the adjustments shown on the right.

	Draft	Redraft
Sales	630 000	
Less Cost of Goods Sold	270 000	
Gross Profit	360 000	
Less expenses		
Bank fees	320	
Commission paid	31 500	
Insurance	12 000	
Motor expenses	18 000	
Rent	24 000	
Wages	180 000	
Telephone	9 400	
Postage	2 300	
Total expenses	277 520	
Net Profit	\$82 480	

Adjustments

- Rent is paid to Sept 1 \$2 000 per month
- Insurance is paid to Dec 31 \$4 000
- A deposit \$10 000 was received on 15 June for goods to be delivered on 10 July.
- Commission (5%) on June sales (\$55 000) has not been paid
- The owner has included \$400 private use of telephone in the business
- Depreciation of motor vehicle \$35 000 straight line method 20% per annum

9 Explain why prepaid expenses are classified as current assets on the statement of financial position.

10 Explain why prepaid revenue is classified as a current liability on the statement of financial position.

11 What is the effect on the liquidity of a business when expenses are prepaid?

11 SPECIAL JOURNALS with GST

Terms you should know

Cash payments journal – a record book used for all payments of cash by the business

Cash receipts journal – a record book used for all receipts of cash by the business

Creditors schedule – a list of balances from the creditors subsidiary ledger. The total of the individual creditor balances must agree with the balance of the control account.

Debtors schedule – a list of balances from the creditors subsidiary ledger. The total of the individual debtor balances must agree with the balance of the control account.

Goods and Services Tax (GST) – a tax levied by the Australian Government on the supply of goods and services (currently 10%). A value added tax.

Purchases journal – a book used to record all purchases of trading stock on credit

Sales journal – a book used to record all sales of trading stock on credit

Subsidiary ledger – books recording the detail of the balances in the control account in the general ledger (used for debtors, creditors and stock)

1 Explain the purpose of using special journals.

2 Explain how an entry in a special journal is different from an entry in the general journal.

3 What proportion of the sales revenue is payable to the government as GST? _____

4 Calculate the sales revenue for the business and the GST on the revenue.

	Total revenue	Sales revenue for business	GST
Albert's Arcade	2 600		
Brown's Boutique	9 800		
Cath's Cuisine	1 700		

5 Complete the Sales and Cash Receipts journals below. The mark up on stock is 100%.

Sales journal

Date	Debtor	Cost price	Selling price	GST	Total
1/9/05	Black		14 600		
5/9/05	Brown		8 500		

Cash receipts journal

Date	Details	Cost price	Selling price	Debtors	GST	Bank
1/9/05	Sales		4 600			
9/9/05	Brown			12 600		
16/9/05	Black			8 450		
26/9/05	Sales		3 200			

- 6 Post both journals from Q5 to the general ledger and the debtors subsidiary ledger at 30 September 2005.

General ledger

Debtors subsidiary ledger

- 7 Enter the following transactions into the cash payments journal.

Nov 1 Payment to Australian Taxation Office \$5 120 Chq 1290
 9 Payment to creditor (Sliding Windows) \$21 400 Chq 1291
 25 Cash purchase of timber stock \$8 800, including GST Chq 1292

Cash Payments Journal

Date	Details	Purchases	Creditors	GST	Bank

- 8 Explain each of the entries in the account below.

GST Clearing account							
30/6/05	Creditors	(4)	PJ	15 460	1/6/05 Balance	(1)	8 540
"	Bank	(5)	CPJ	8 540	30/6/05 Bank	(2)	CRJ 590
					30/6/05 Debtors	(3)	SJ 9 162
					30/6/05 Balance	(6)	5 708

1 _____ 4 _____
 2 _____ 5 _____
 3 _____ 6 _____

- 9 Insert the correct term for each of the descriptions in the table.

Term	Description
	Records of credit supplies of trading stock to a business
	Records of all cash coming into a business
	Records of credit supplies of trading stock by a business
	Records of all cash moving out of a business
	Individual records of totals in a general ledger

12 JOURNALS to TRIAL BALANCE (1)

Terms you should know

Balancing – calculation and recording of the balance of an account

Folio numbers – cross-references inserted into the ledger to show the source of the information, and into the journals to show the destination of the information

Footings – calculation of the balance of an account

Trial balance – a listing of all of the balances in the ledger to check that the total of the debits equals the total of the credits

- 1 What are the benefits of recording in special journals?
- 2 What is the purpose of preparing a trial balance?
- 3 Complete the journals below, and then post to the ledger accounts provided in the general ledger and subsidiary ledger. Balances in ledger at 1/8/05 – Creditors \$22 000 (Dog Kennels \$15 000, Garden Sheds \$7 000), Bank \$7 500, Stock \$36 000, GST Clearing (Cr) \$10 900.

Purchases Journal

Date	Creditor	Purchases	GST	Total
2/8/05	Dog Kennels		450	
9/8/05	Garden Sheds		970	

Dr/Cr?

Dr/Cr?

Dr/Cr?

Cash payments journal

Date	Details	Purchases	Creditors	Disc rev	GST	Sundries	Bank
3/8/05	Wages					2 000	
10/8/05	Dog Kennels			250			13 250
12/8/05	Cash Purchases	9 800					
20/8/05	Aust Tax Office				10 900		

Dr/Cr?

Dr/Cr?

Dr/Cr?

Dr/Cr?

Dr/Cr?

Dr/Cr?

General ledger

Creditors Control	

Bank	

Stock Control	

GST Clearing	

Subsidiary ledger

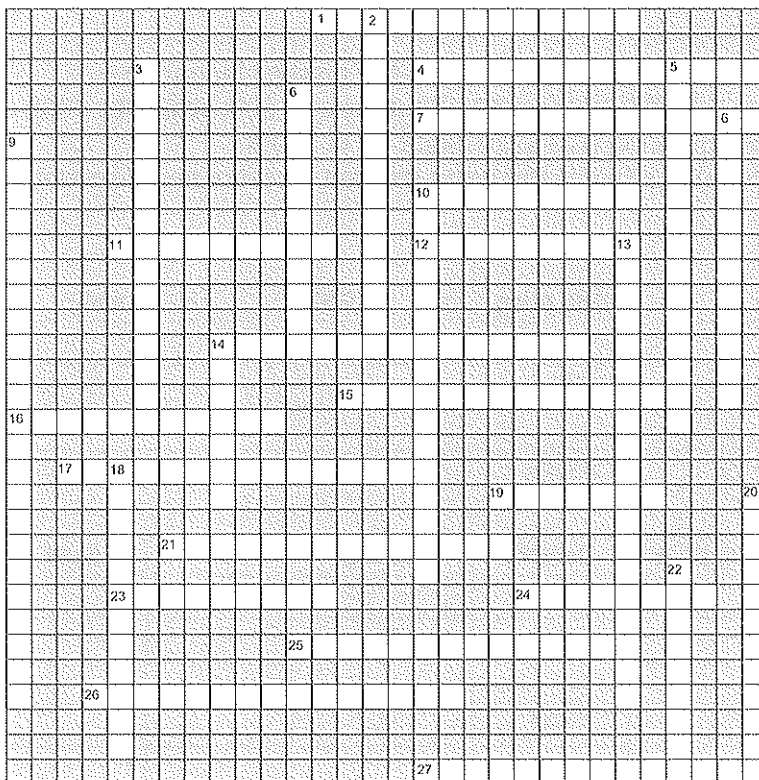
4 Prepare a trial balance and a reconciliation schedule for the subsidiary ledger.

Trial balance

	Debit	Credit

Reconciliation

5 Complete this crossword.



Across

1. Net value of non current asset (8, 5)
4. A method of determining value of inventory (10, 4)
7. Cost used before being paid (7, 7)
10. Goods on hand greater than goods on records (5, 4)
11. Goods on records greater than goods on hand (5, 4)
12. Recording of difference between debit and credit in an account (9)
14. A method of determining value of inventory (5, 2, 5, 3)
15. Income earned but not received (7, 7)
16. System of recording where the debits equal the credits (6, 5)
17. A method of allocating cost of asset as an expense (8, 7)
19. Entities owing money to the business (7)
21. Income recorded before it is earned (7, 7)
23. Entities owed money by the business (9)
24. Uncollectable amounts (3, 5)
25. A record in the general ledger summarising the individual records (7, 7)
26. A reduction in the amount owed as a result of early payment (8, 7)
27. Cost paid before it is used (7, 7)

Down

2. To bring to agreement (14)
3. Reduction of an amount owed as a result of early payment by a debtor (8, 7)
5. Buying of goods with payment made later (6, 9)
6. Supply of goods where payment is made later (6, 5)
8. Method of allocating the cost of a noncurrent asset (8, 4)
9. Total of cost already written off from a non current asset (11, 12)
10. Individual records of amounts included in the general ledger (10, 6)
13. Value added tax (4, 3, 8, 3)
14. Calculation of difference between debit and credit in account (7)
18. Allocation of cost of asset over working life (12)
20. List of all balances in the ledger (5, 7)
22. Counting of stock (5, 4)

13 JOURNALS to TRIAL BALANCE (2)

Terms you should know

Balancing – calculation and recording of the balance of an account

Folio numbers – cross-references inserted into the ledger to show the source of the information, and into the journals to show the destination of the information

Footing – calculation of the balance of an account

Trial balance – a listing of all of the balances in the ledger to check that the total of the debits equals the total of the credits

1 Why are folio numbers used in posting to the ledger?

2 List 5 errors that can be found in a trial balance even if it balances.

- 1 _____
- 2 _____
- 3 _____
- 4 _____
- 5 _____

3 Complete the journals below, post to the ledger accounts provided in the general ledger and subsidiary ledger. Balances in the ledger at 1/10/05: Debtors \$2 500 (Black \$1 500, White \$1 000), Bank overdraft \$1 100, Stock \$20 000, GST Clearing (Cr) \$220. Mark up is 200%.
(Note: formats may vary according to preference.) This is the gross method for recording discount.

Sales journal

Date	Debtor	Cost price	Selling price	GST	Total
12/10/05	White		600		
15/10/05	Black		750		

Dr CoGS Cr Stock

Cr Sales

Cr GST

Dr Debtors

Cash receipts journal

Date	Details	Cost price	Selling price	Debtors	Disc Exp	GST	Bank
2/10/05	Cash sales	400					
14/10/05	Black			640	20		
19/10/05	Cash sales	700					
23/10/05	White			500	15		

Dr/Cr? Dr/Cr ?

Dr/Cr?

Dr/Cr?

Dr/Cr?

Dr/Cr?

Dr/Cr

General ledger

Debtors Control	

Bank	

Stock Control	

GST Clearing	

Subsidiary ledger

White	

Black	

- 4** Use information in Q3 to prepare a trial balance and a reconciliation schedule for the subsidiary ledger.

Trial balance

	Debit	Credit

Reconciliation

- 5** Unscramble the terms in the table and match them to the definitions.

ILTAR NLAABEC	Calculation of differences between debits and credits in an account	
RDAGTNI COTSK	An account in the general ledger summarising the subsidiary ledger	
IAANNLBCG	Preparation of accounts for next accounting period	
LEASS ULNJARO	An account used to calculate the amounts owing to or by the Aust. Taxation Office	
LTONCRO NCUTCAO	A listing of all balances in accounts in the ledger	
EIGACRLN CUANTOC	Items bought for resale at a profit	
OIGTNOF	A record of all supplies of stock on credit	

- 6** Select the appropriate answer from the alternatives below (assume perpetual recording method).

- a** Returns by customers of goods purchased for cash should be:
- i** Debit Sales Credit Debtors control
- ii** Debit Sales returns Credit Debtors control
- Debit Stock Credit Cost of goods sold
- iii** Debit Sales Credit Debtors control
- Debit Cost of goods sold Credit Stock
- iv** Debit Sales returns Credit Bank
- Debit Stock Credit Cost of goods sold
- b** Returns to suppliers of goods purchased on credit should be
- i** Debit Purchases returns Credit Purchases
- ii** Debit Creditors Credit Stock
- iii** Debit Purchases returns Credit Stock
- iv** Debit Bank Credit Purchases returns
- c** Failure to record returns in (of goods purchased on credit) results in
- i** Stock gains
- ii** Stock losses
- iii** Overstating proprietorship
- iv** Overstating creditors

14 REPORTS for TRADING BUSINESSES (1)

Terms you should know

Cost of goods sold – the total costs related to the goods that have been sold. Sales revenue less cost of goods sold equals gross profit

Gross profit – the difference between the sales revenue and the cost of goods sold

- 1 What is the effect on the gross profit of an increase in the selling price where there is no increase in the cost price?

What would be the effect on the gross profit ratio? _____

- 2 What is the effect on the gross profit of an increase in the cost price with the same amount of increase in the selling price? (Such as cost increasing from \$100 to \$110 with the selling price increased from \$200 to \$210) _____

What would be the effect on the gross profit ratio? _____

- 3 What is the effect on the accounting equation of a stock gain?

- 4a From the trial balance below, prepare a statement of financial performance at 30 June 2005, taking these adjustments into account.

- The owner took home stock valued at \$2 000 which has not been recorded
- A customer returned goods \$120 which has not been recorded (cost price \$50). A cash refund was given.
- Goods were returned to the supplier in June \$1 800. This has not been recorded.
- The stock take on 30 June 2005 showed that there was \$23 100 stock on hand
- Stock line B (400 items at \$40) can only be sold for \$30 each
- Cartage in has been included in delivery costs in error \$340

Trial balance

Statement of financial performance

	Debit	Credit			
Bank		4 140			
Stock	26 600				
Debtors	29 410				
Creditors		27 450			
Sales		355 000			
Cost of goods sold	176 000				
Sales returns	5 600				
Capital		17 670			
Delivery costs	4 650				
General expenses	162 000				
	\$404 260	\$404 260			

- 4b** Prepare the current assets and current liabilities sections of the statement of financial position at 30 June 2005

Current Assets		Current Liabilities	

- 4c** Has the working capital ratio increased or decreased as a result of the adjustments?

- 5** The documents below relate to the records of Albury Trading.

Document 1

Invoice 451	30/5/05
ALBURY TRADING	
Sold to Wodonga Supplies	
Items	40 cans paint
Total	\$80
Signed T Thomas	

Document 2

Invoice 716	16/5/05
SOUTHERN MOTORS	
Sold to Albury Trading	
Item	Folden utility
Total	\$19 000
Signed M Southern	

	Document 1	Document 2
Which journal should this document be recorded in?		
What is the effect of this document on the assets?		
What is the effect of this document on the liabilities?		
What is the effect of this document on the profit or loss of the business?		
What is the effect on the proprietorship of this document?		

- 6** Read the following statements carefully and decide if they are true or false.

Using perpetual recording, purchases returns are not shown on the statement of financial performance because they do not involve either a revenue or an expense	
Using perpetual recording, stock gains are deducted from gross profit to give adjusted gross profit	
Stock takes are needed to ascertain the stock on hand at the end of the period to calculate the cost of goods sold	
When using identified costing on stock cards, sales of stock are always deducted from the oldest stock on hand on the card	
Failure to record returns in of stock will result in apparent stock gains	
The journal rulings must include a cost price column in purchases, purchases returns and cash payments journals	
All entries on the stock cards must be made at selling price	
Stock cards are generally used for high value, slow moving stock lines	
If 40 items are delivered and 42 are recorded as being delivered, this will result in an apparent stock loss	

15 REPORTS for TRADING BUSINESSES (2)

Terms you should know

Accrued expense – an expense which is incurred before it is paid

Accrued revenue – a revenue which is earned before it is received

Gross profit – the difference between the sales revenue and the cost of goods sold

Net profit – sales revenue less all expenses incurred in earning that revenue. Net Profit increases owner's equity.

Prepaid expense – an expense which is paid before it is incurred

Prepaid revenue – a revenue which is received before it is earned

1 Will net profit increase or decrease as a result of an accrued expense? _____

2 Will net profit increase or decrease as a result of prepaid revenue? _____

3 Explain the difference between gross profit and net profit.

4 Under what circumstances could net profit increase when there is an increase in expenses?

5a From the trial balance below, prepare a statement of financial performance at 30 June 2005, taking these adjustments

into account.

- Unpaid wages at 30 June 2005 \$3 700 (included in general expenses)
- Rent is paid to 21 July \$600 per week
- Advertising paid on 1 April was for 6 months \$18 000
- Depreciation is to be charged on the motor vehicle at 20% per annum using straight line method
- The term loan was invested at 1 July 2004 at 5% per annum interest
- The office furniture was purchased on 1 January 2005. It is to be depreciated at 15% per annum, straight line method
- A debtor has been declared bankrupt owing \$3 300. The business will receive 20c in each \$.

Trial balance

Statement of financial performance

	Debit	Credit			
Bank	2 780				
Stock control	43 500				
Debtors control	69 000				
Creditors control		46 000			
Sales		559 000			
Cost of goods sold	254 000				
Sales returns	6 100				
Term deposit	20 000				
Capital		63 530			
Cartage in	3 800				
Delivery costs	5 300				
General expenses	146 000				
Office furniture	27 000				
Motor vehicle	42 000				
Accum. dep. MV		14 700			
Telephone	5 100				
Advertising	25 000				
Rent	30 000				
Insurance	4 400				
Interest revenue		750			
	\$683 980	\$683 980			

- 5b** Prepare the current assets and current liabilities sections of the statement of financial position at 30 June 2005.

Current Assets		Current Liabilities	

- 5c** What is the effect of these adjustments on the working capital ratio?

- 6** Explain to the owner of a business 3 benefits that could be obtained from recording business transactions with the use of a computer.

1

2

3

- 7** Select the appropriate answers for the questions below.

- a** A loan taken out on 1 January 2005 \$20 000, with annual repayments of \$5 000 plus interest, will be classified on the statement of financial position at 30 June 2005 as
- \$20 000 non current asset
 - \$20 000 non current liability
 - \$5 000 current liability, \$15 000 non current liability
 - \$7500 current liability, \$12 500 non current liability
- b** Prepaid revenue is classified as
- Current asset on the statement of financial position because there are future benefits
 - Revenue on the statement of financial performance because it is income to the business
 - Financing activity on the statement of cash flows because it has been used to finance the business
 - Current liabilities because it does not belong to the business until it has been earned
- c** The owner draws stock for private use. The effect of this is to
- Decrease assets, decrease proprietorship
 - Decrease assets, increase proprietorship
 - Reduce profitability
 - Have no effect at all on the business
- d** Net profit ratio is decreasing. Which of the following MIGHT NOT stop this happening?
- Change to stock lines with higher mark-up
 - Find a cheaper supplier for the current stock range
 - Hold an advertising campaign costing \$20 000, resulting in increased sales of \$30 000
 - Terminate the services of one of the sales staff

16 CLOSING ENTRIES

Terms you should know

Balancing – calculation and recording of the balance of an account

Footings – calculation of the balance of an account

- 1 Distinguish between accounts that are closed and accounts that are balanced at the end of the accounting period.

- 2 Why is it important to close the ledger at the end of an accounting period?

- 3 Which accounting principle is relevant to closing the ledger? Explain your choice.

- 4 Balance the accounts below.

Creditors Control			
30/6 Bank	294 000	1/7 Balance	72 000
		30/6 Stock	285 000

Debtors Control			
1/7 Balance	91 000	30/6 Bad debt	4 000
30/6 Sales	461 000	Bank	455 000

Bank			
1/7 Balance	1 010	30/6 Sund pay	263 000
30/6 Sund receipts	247 000		

Office Equipment			
1/7 Balance	40 000		
30/6 Sun Crs	20 000		

- 5a Prepare the general journal entries required to close the ledger below and over the page.

Rent			
30/6 Bank	24 000	30/6 Prep exp	2 000

Sales Returns			
30/6 Debtors	1 590		

Sales			
		30/6 Bank	7 000
		Dbtrs	270 000

Accrued Expenses			
		30/6 Wages	5 000
		Gen exp	3 400

Wages		
30/6	Bank	65 000
	Acc exp	5 000

Prepaid Expenses		
30/6	Rent	2 000
	Gen exp	6 600

General Expenses			
30/6	Bank	160 000	30/6 Prep exp 6 600
	Acc exp	3 400	

Cost of Goods Sold		
30/6	Stock	59 000

Stock			
1/7 Stock	75 000	30/6 Cost of GS	59 000
30/6 Creditors	65 000		

Capital		
	1/7 Balance	150 000

5b Post the general journal entries to the ledger.

5c Prepare the general journal entry required to transfer the profit/loss at the end of the period.

5d Post this entry to the ledger.

General journal

		Debit	Credit			Debit	Credit

6 Explain what entries would be needed at the beginning of the next account period in relation to the prepaid and accrued expenses.

7 How would you treat the drawings on balance day? Explain why.

17 STATEMENT of CASH FLOWS

Terms you should know

Financial activities – a classification of the statement of cash flows which covers loan borrowing and repayments, cash contributions of capital, and cash drawings of capital

Investing activities – a classification of the statement of cash flows which covers cash paid for new non current assets and proceeds from sale of non current assets

Operating activities – a classification of the statement of cash flows which covers all cash transactions for trading activities – cash sales and collections from debtors, cash expenses and payments to creditors

Statement of cash flows – statement which includes all cash flowing into and out of an entity during an accounting period, classified into Operating, Investing and Financing activities

- 1 Explain how a statement of cash flows differs from a statement of financial performance.
- 2 In the table below, tick the items that would be included in a statement of cash flows for year ended 30 June 2005.

Wages paid during period	Accrued wages at end of period	Purchase of office equipment for cash
Rent paid during period	Prepaid rent at end of period	Contribution of computer to the business by the owner
Purchase of motor vehicle on 12 months terms	Drawings of cash by owner	Collection of cash from debtors
Deposit on work yet to be started	Payments to creditors	Payment of GST owing to ATO from previous period
Deposit on motor vehicle	Cash received from sale of equipment	Bad debts

- 3 From the information below, prepare a statement of cash flows for Joshua Enterprises for the year ended 30 June 2005.

Bank balance 1 July 2004	(21 450)			
Interest paid	4 950			
Wages paid	176 000			
Deposit on motor vehicle	20 000			
Monthly loan payments (×12)	600			
Collections from debtors	614 000			
Proceeds from sale of equip.	15 000			
Loan from bank	10 000			
Cash sales	206 000			
Credit sales	607 000			
Payments to creditors	398 000			
Credit purchases	426 000			
General cash expenses	214 000			
Drawings	60 000			
Purchase of office equip on credit	45 000			

- 4 Explain the main reasons why the cash position improved/deteriorated during the period.

- 5 The questions below relate to the statements of cash flows for years ended 30 June 2004 and 2005.

	2004		2005	
Operating Activities				
Cash sales	89 000		91 000	
Collections from debtors	566 000		578 000	
Payments to creditors	(487 000)		(452 000)	
General expenses	(124 000)		(121 000)	
Net cash flows from Operating Activities		44 000		96 000
Investing Activities				
Purchase of computer system	(61 000)		(22 000)	
Proceeds from sale of old off equip	12 000		—	
Net cash flows from Investing Activities		(49 000)		(22 000)
Financing Activities				
Drawings	(65 000)		(60 000)	
Loan from bank	50 000		40 000	
Loan repayments	(21 000)		(25 000)	
Net cash flows from Financing Activities		(36 000)		(45 000)
Net flows for year		(41 000)		29 000
Bank balance at 1 July		23 000		(18 000)
Bank balance at 30 June		\$(18 000)		\$11 000

- a How has the liquidity position of the business changed since 1 July 2003?

- b State what is the main source of funding:

in 2004 _____

in 2005 _____

- c Profit earned in 2004 was \$55 000, and in 2005 \$64 000. Comment on the level of drawings.

in 2004 _____

in 2005 _____

- 6 Have the funds provided by operating activities increased or decreased? Comment on the debtors collections over the period (credit sales in 2004 were \$560 000, 2005 \$600 000).

- 7 Under what circumstances could cash outflows exceed cash inflows from operating activities?

GLOSSARY

Account – a record of transactions of a particular type

Accounting equation – $A = L + P$, or $P = A - L$

Accrued expense – an expense that is incurred before it is paid

Accrued revenue – revenue that is earned before it is received

Accumulated depreciation – the total of the depreciation that has been written off from a non current asset

Allocated cost – the total depreciation which has been written off against revenue (accumulated depreciation)

Bad debts – amounts that cannot be collected from debtors

Balance-day adjustments – adjustments prepared at the end of the accounting period so that the principle of accrual accounting is adhered to (so that the results for the accounting period reflect the activity which actually took place)

Balancing – calculation and recording of the balance of an account

Carrying value – the written down value of a non current asset

Cash payments journal – a record book used for all payments of cash by the business

Cash receipts journal – a record book used for all receipts of cash by the business

Closing entries – entries in the general journal and ledgers required to prepare the ledger for the following accounting period

Control account – an account in the general ledger that summarises the accounts in a subsidiary ledger

Credit – item which is recorded on the left hand side of an account

Debit – item which is recorded on the right hand side of an account

Depreciation – allocation of the cost of a non current asset against revenue

Discount allowed (expense) – a reduction in the amount payable by debtors if they pay their accounts within a specified period. An inducement to settle debts promptly

Discount received (revenue) – a reduction in the amount payable to a creditor if the account is paid within a specified period.

Double entry – system used for the recording of transaction in a ledger. Two entries are made for each transaction.

FIFO – First In First Out – system of recording and stock management that uses the oldest stock on hand when sales are made

Financing activities – a classification of the statement of cash flows which covers loan borrowing and repayments, cash contributions of capital, and cash drawings of capital

Folio numbers – cross-references inserted into the ledger to show the source of the information, and into the journals to show the destination of the information

Footings – Calculation of the balance of an account

General journal – a record book used for transactions that are infrequent

Goods and Services Tax – a tax levied by the Australian Government on the supply of goods and services (currently 10%). A value added tax.

Identified cost – a system of stock recording and stock management where each item is tagged and identified with the actual cost

Investing activities – a classification of the statement of

cash flows which covers cash paid for new non current assets and proceeds from sale of non current assets

Ledger – book of accounts – a book used to record all of the transactions that have been summarised into separate accounts.

Non-recurring entries – entries in a general journal – transactions which occur infrequently therefore do not have a special journal

Opening journal entry – an entry in the general journal to establish the existing balances for the double entry system

Operating activities – a classification of the statement of cash flows which covers all cash transactions for trading activities – cash sales and collections from debtors, cash expenses and payments to creditors

Prepaid expense – an expense that is paid before it is incurred

Prepaid revenue – revenue that is received before it is earned

Purchases journal – a book used to record all purchases of trading stock on credit

Purchases returns (returns out) – goods returned to suppliers

Reducing balance depreciation – a method of calculating depreciation based on the written down value (carrying value) of the asset

Residual value (scrap value) – the difference between the cost of a non current asset and the accumulated depreciation which has been written off so far.

Sales journal – a book used to record all sales of trading stock on credit

Sales returns (returns in) – goods returned by customers

Statement of cash flows – statement that includes all cash flowing into and out of an entity during an accounting period, classified into operating, investing and financing activities

Statement of financial performance – (Statement of profit and loss) statement including all revenues and expenses for an accounting period and showing the profit or loss for the period

Statement of financial position (Balance sheet) – statement including all assets and liabilities and giving proprietorship as a residual amount, prepared on a particular date

Stock card – a record of all movements of stock into and out of the business

Stock gain – the total value of stock in the warehouse is greater than the value of stock in the records

Stock loss – the total value of stock on the records is greater than the value of the stock in the warehouse

Stock take – counting and valuing of stock owned by the business

Stock write down – a downward adjustment in the value of the stock

Straight line depreciation – a method of calculating depreciation based on the cost of the asset

Subsidiary ledger – books kept to record the detail of the balances in the control account in the general ledger (used for debtors, creditors and stock)

Transactions – an economic or financial event in the life of the business

Trial balance – a listing of all of the balances in the ledger to check that the total of the debits equals the total of the credits

SELECTED ANSWERS

1 TRANSACTIONS AND ACCOUNTS

2

Credit	Decreases in assets	Debit	Decreases in revenues
Debit	Decreases in liabilities	Credit	Decreases in expenses
Debit	Increases in expenses	Credit	Increases in liabilities
Credit	Increases in proprietorship	Debit	Increases in assets
Credit	Increases in revenues	Debit	Decreases in proprietorship

4 Bank account – Cash payments \$267 846. Loan account – Bank \$10 000

5

Sales	
Bank	30 000

		Bank	
Sales	30 000	Balance	7 142
Balance	1 142	Advertising	4 000
		Office equip	<u>20 000</u>
	\$31 142		\$31 142
		Balance	1 142

	Advertising	
Bank	4 000	

6

Bank			
Balance	5650	Loan	5 000
Fees	15 000	Gen off Exp	11 000
		Fees	1 000
		Motor veh	25 000
		Drawings	500

Motor Vehicle	
Balance	35000
Bank	25 000

Fees Earned			
Bank	1 000	Bank	15 000

Capital			
Bank	1 000	Balance	20 650

Loan			
Bank	5 000	Balance	20 000

General Office Expenses		
Bank	11 000	

8 False, True, True, False, False, True, True

2 TRANSACTIONS TO TRIAL BALANCE

3

Stock			
Balance	14 555	Cost of GS	133 780
Creditors	245 000	Creditors	1 560
Cost of GS	3 500		
			127 715

5

Transaction	Accounts	Dr or Cr	Reason
Pay wages \$1500	Wages Bank	Debit Credit	Increases expenses Decreases assets
Pay \$2 000 off a loan from the bank	Loan Bank	Debit Credit	Decreases liabilities Decreases assets
Pay \$500 interest on the loan	Interest Bank	Debit Credit	Increases expenses Decreases assets
Draw \$2 000 for owners private use	Drawings Bank	Debit Credit	Decreases proprietorship Decreases assets
Sell stock on credit \$10 000 (cost \$7 000)	Debtors Sales Cost of GS Stock	Debit Credit Debit Credit	Increases assets increases revenue Increases expenses Decreases assets

6

Bank	
Sales 500	Advertising 700
Debtors 1 000	Creditors 3 000
	2 200

Sales	
Bank	500
Debtors	2 000
	2 500

Stock	
Cost of GS	60
Creditors	5 000
	(4 260)

Cost of Goods Sold		
Stock	200	Stock 60
Stock	600	
	(740)	

Sales Returns	
Debtor	200

Debtors			
Sales	2 000	Sales returns	200
		Bank	1 000
	(800)		

Creditors			
Bank	3 000	Stock	5 000
			(2 000)

Office Supplies			
Sundry Creditors	200		

Trial balance at 9 March

	Debit	Credit
Bank		2 200
Sales		2 500
Stock	4 260	
Cost of goods sold	740	
Sales returns	200	
Debtors	800	
Creditors		2 000
Advertising	700	
Office supplies	200	
Sundry creditor		200
	\$6 900	\$6 900

3 SPECIAL JOURNALS

Date	Details	DOC
April 4	P Chamberlain	4421
7	C Norman	4422
10	B Pryke	4423
12	G Rush	4424

4 Creditors subsidiary ledger

Paint Products LTD			
Bank	5 200	Balance	5 200
		Stock	9 350
			(9 350)

General ledger

Creditors Control			
Bank	16 000	Balance	16 000
		Stock	22 990
			(22 990)

GST Liabilities			
Bank	4 500	Balance	4 500
Creditors	2 090		
	(2 090)		

5 Cash receipts journal

Date	Details	Cost	Selling	GST	Debtors	Sund.	Bank
1/6	Capital contribution					20 000	20 000
2/6	Cash sales	1 500	4 000	400			4 400
6/6	Smithson				9 800		9 800
9/6	Cash sales	500	800	80			880
13/6	Bank interest					126	126
18/6	Cash sales	1 000	2 000	200			2 200
23/6	Watson				6 600		6 600
28/6	Refund			5		50	55
		3 300	6 800	685	16 400	20 176	44 061

- 6 Debit, GST, Debit decreased liabilities
Debit, Cost of goods sold, Credit, Stock control, Debit increased expenses and credit decreased stock
Credit, Debtors control, Credit decreased asset

4 SUBSIDIARY LEDGERS/CONTROL ACCOUNTS

7 Subsidiary, separate records, control, individual records, reconciled, control, schedule.

9 Debtors subsidiary ledger

Bird's Bakery			
Balance	6 500	3/8 Bank	6 500
6/8 Sales	2 860		
	(2 860)		

Advertising			
Bank	700		

Sundry Creditor			
		Office supplies	200

7

Purchases of Office supplies: Dr Bank, Cr Office supplies	False
If the trial balance balances, this means that all posting is correct.	False
Increases in proprietorship are credited.	True
Prepaid expenses are debited	True
The amount for telephone expense has been posted to Electricity. To fix, Electricity will be credited	True
Increases in Drawings are credits.	False

Cost	Selling	GST	Total
300	750	75.00	825.00
500	1250	125.00	1375.00
450	1125	112.50	1237.50
130	325	32.50	357.50
1380	3450	345.00	3795.00

Wallpaper Designs PTY LTD			
Bank	10 800	Balance	10 800
		Stock	13 640
			(13 640)

Stock Control			
Balance	26 800		
Creditors	20 900		
	(47 700)		

Schedule of Creditors			
Paint Products Ltd			9 350
Wallpaper Designs			13 640
Balance as per Creditors control account			\$22 990

Water Wheel Mill			
Balance	11 900		
10/8 Sales	8 250		
	(20 150)		

Vigor Breads			
Balance	8 100	12/8 Bank	6 000
16/8 Sales	6 270		
	<u>(8 370)</u>		

General ledger

Debtors Control			
Balance	30 900	24/8 Bank	16 900
24/8 Sales	20 020		
	<u>(34 020)</u>		

Cost of Goods Sold			
24/8 Stock	1 120		
24/8 Stock	6 400		
	<u>(7 520)</u>		

Carey Confectionery			
Balance	4 400	24/8 Bank	4 400
19/8 Sales	2 640		
	<u>(2 640)</u>		

GST Liabilities			
	24/8 Bank		330
	24/8 Debtors		1 820
			<u>(2 150)</u>

Sales			
	24/8 Bank		3 300
	24/8 Debtors		18 200
			<u>(21 500)</u>

Schedule of debtors at 24 August

Birds Bakery	2 860
Vigor Breads	8 370
Water wheel	20 150
Carey Confectionery	2 640
Balance as per debtors control account	<u>34 020</u>

5 STOCK CONTROL

2

Date	Reference	In			Out			Balance		
		Qty	Cost	Total	Qty	Cost	Total	Qty	Cost	Total
1/6	Balance							25	15	375
1/6	Inv 406	40	15	600				65	15	975
2/6	Inv 941				10	15	150	55	15	825
6/6	Inv 946				16	15	240	39	15	585
10/6	Inv 1076				19	15	285	20	15	300
15/6	Inv 425	25	18	450				20	15	300
								25	18	450

3

Pot plants

Date	Reference	In			Out			Balance		
		Qty	Cost	Total	Qty	Cost	Total	Qty	Cost	Total
1/8	Balance							33	5	165
4/8	Purchase	50	6	300				33	5	165
								50	6	300
5/8	Sale				20	5	100	13	5	65
								50	6	300
8/8	Sale				13	5	65			
					37	6	222	13	6	78
9/8	Purchase	46	6.50	299				13	6	78
								46	6.50	299

Extract from General Ledger

Stock Control			
Balance	165	9/8 Cost of GS	387
9/8 Creditors	599		
	<u>(377)</u>		

Does the balance of the stock account agree with the balance of the stock card?

Yes, both have a balance of \$377

4 b and d

5 False, False, True, True, False

6

Stock Control					
1/9	Balance	72 400	10/9	Cost of goods sold	309 000
	Creditors	267 000	11/9	Creditors	4 500
3/9	Cost of goods sold	320	30/9	Balance	26 500
30/9	Stock gain	280			
		<u>\$340 000</u>			<u>\$340 000</u>
1/10	Balance	26 500			

7 F, H, G, A, C, B, D, E

6 STOCK ADJUSTMENTS

2 Stock card

Date	Reference	In			Out			Balance		
		Qty	Cost	Total	Qty	Cost	Total	Qty	Cost	Total
30/6	Balance							447	100	44 700
	Stock loss				2	100	200	445	100	44 500

General Journal

30/9	Stock loss	200	
	Stock control		200
	Stock loss of 2 office chairs		

4 A and C

6

Cost of Goods Sold			
Stock	530 000	Stock	4 600
		Profit & Loss	525 400
	<u>\$530 000</u>		<u>\$530 000</u>

7

Date	Details	Folio	Debit	Credit
30/6/05	Stock control		2 000	
	Stock gain			2 000
	Stock gain as per stocktake			

8b

Date	Reference	In			Out			Balance		
		Qty	Cost	Total	Qty	Cost	Total	Qty	Cost	Total
30/6	Balance							400	10	4 000
	Stock writedown				400	4	1 600	400	6	2 400

8c

Date	Details	Folio	Debit	Credit
30/6	Stock write down		1600	
	Stock control			1600
	Value of Line A reduced to \$6 each			

7 GENERAL JOURNAL – NON-RECURRING ENTRIES

3 C

4

Date	Details	Folio	Debit	Credit
1/1/05	Office equipment		15 000	
	Sundry Creditor (Style)			15 000

5 C

6a

Date	Details	Folio	Debit	Credit
30/9/05	Capital		800	
	Office Furniture			800
	Owner takes office desk for own use			

7a

Date	Details	Folio	Debit	Credit
	Computer		10 000	
	Capital			10 000
	Owner contributes computer to business			

7b Balance the accounts

Computer			
Balance	45 000	Balance	55 000
Capital	10 000		
	<u>\$55 000</u>		<u>\$55 000</u>
Balance	55 000		

Capital			
Balance	170 000	Balance	160 000
		Computer	10 000
	<u>\$170 000</u>		<u>\$170 000</u>
		Balance	170 000

9

Date	Details	Debit	Credit
Mar 1	Stock	50 000	
	Debtors	60 000	
	Office Equipment	25 000	
	Creditors		55 000
	Accum. Deprec of OE		9 000
	Bank		6 300
	Capital		64 700
Assets and liabilities for establishment of double entry system			

5

Genuine Products Statement of Financial Performance for year ended 30 June 2005		
Sales	650 000	
Less Sales Returns	12 000	638 000
Less Cost of goods sold		
Suppliers Price		295 000
Gross profit		343 000
Less Stock Loss		4 100
Adjusted Gross Profit		338 900
Less General Expenses		100 000
Net Profit		\$228 900

Stock Control			
Balance	77 000	Cost of GS	530 000
Creditors	520 000	Creditors	8 700
Cost of GS	4 600	Balance	65 400
Stock gain	2 500		
	<u>\$604 100</u>		<u>\$604 100</u>
Balance	65 400		

Stock		
1/3 Balance	50 000	
Debtors		
1/3 Balance	60 000	
Office Equipment		
1/3 Balance	25 000	
Creditors		
	1/3 Balance	55 000

Accumulated Depreciation of Office Equip.		
	1/3 Balance	9 000
Bank		
	1/3 Balance	6 300
Capital		
	1/3 Balance	64 700

10				
Date	Details	Folio	Debit	Credit
30/6/05	Telephone		250	
	Printing			250
	Adjustment of incorrect posting			

8 DEPRECIATION

5 Straight line method \$ 6400, \$12 800, \$27 200: Reducing balance method \$ 7296, \$16 896, \$23 104

9a Accumulated depreciation \$3 000 (30/6/04 \$1 000, 30/6/05 \$2 000)

9b				
Date	Details	Folio	Debit	Credit
30/6/05	Depreciation of Office Equipment		2 000	
	Accumulated depreciation of OE			2 000

9c				
Depreciation of OE			Accum Deprec of OE	
30/6 Acc Dep	2 000		30/6/04 Dep OE	1 000
			30/6/05 Dep OE	2 000

9d Profit \$1 000

9 BALANCE-DAY ADJUSTMENTS (ACCRUED REVENUE AND EXPENSE)

4				
Date	Details	Folio	Debit	Credit
30/6/05	Wages		2 500	
	Accrued expenses			2 500
	2 weeks wages owing at 30 June			

6				
Interest Revenue			Accrued Revenue	
	30/6/05 Balance	4 000	Interest rev	600
	Accrued Rev	600		
Date	Details	Folio	Debit	Credit
30/6/05	Accrued revenue		600	
	Interest revenue			600
	Interest earned but not received			

7				
Telephone			Interest Revenue	
Balance	4 200		Balance	1 600
Accrued exp	176		Accrued rev	300
Accrued Expenses			Accrued Revenue	
	Telephone	176	Interest rev	300

Telephone expense \$4 376, Interest revenue \$1 900

8				
	Draft	Redraft		
Sales	450 000	450 000		
Less Cost of Goods Sold	160 000	160 000		
Gross Profit	290 000	290 000		
Stock adjustment		800		
Adjusted Gross Profit		289 200		
Less Expenses				
Rent	16 000	16 000		
General Office expenses	25 000	25 000		
Wages	89 000	101 000		
Motor vehicle expenses	17 000	17 000		
Advertising	20 000	22 500		
Bad debts		400		
Total expenses	167 000	181 900		
	123 000	107 300		
Interest revenue	3 000	3 200		
Net Profit	\$126 000	\$110 500		

- 9 False, False, True, False
 10 a increase current liabilities, decrease proprietorship b no effect c no effect
 10 **BALANCE-DAY ADJUSTMENTS (PREPAID REVENUE AND EXPENSE)**

3 1/07/04 30/06/05
 1/3 3200 1600 Accounting period

5a

Date	Details	Folio	Debit	Credit
30/6/05	Subscription revenue		100 000	
	Prepaid revenue			100 000
	10 months subscriptions in advance			

or alternatively using the asset approach

Date	Details	Folio	Debit	Credit
30/6/05	Prepaid revenue		20 000	
	Subscriptions revenue			20 000
	2 months subscriptions earned			

b I do not understand where the 1.2 million and the 200k come from in subscription revenue below

Subscription Revenue				Prepaid Revenue	
30/6 Prepaid rev	100 000	Bank	120 000	30/6 Subs rev	100 000
			20 000		

Asset approach

Subscription Revenue				Prepaid Revenue		
	30/6 Prepaid rev	20 000		30/6 Subs Rev	20 000	30/6 Bank
						120 000
						100 000

6 False, True, False, True, False

7

Date	Details	Folio	Debit	Credit
30/6/05	Prepaid advertising		10 000	
	Advertising			10 000
	Advertising prepaid 2.5 months			

Asset approach – Advertising Dr \$6 000 Cr Prepaid advertising \$6 000

8

	Draft	Redraft
Sales	630 000	620 000
Less Cost of Goods Sold	270 000	270 000
Gross Profit	360 000	350 000
Less expenses		
Bank fees	320	320
Commission paid	31 500	34 250
Insurance	12 000	8 000
Motor expenses	18 000	18 000
Rent	24 000	20 000
Wages	180 000	180 000
Telephone	9 400	9 000
Postage	2 300	2 300
Deprec of Motor vehicle		7 000
Total expenses	277 520	278 870
Net Profit	\$82 480	\$71 130

11 SPECIAL JOURNALS WITH GST

4

	Total revenue	Sales rev. for business	GST
Albert's Arcade	2 600	2363.64	236.36
Brown's Boutique	9 800	8909.10	890.90
Cath's Cuisine	1 700	1545.46	154.54

5
 Sales Journal

Date	Debtor	Cost price	Selling price	GST	Total
1/9/05	Black	7 300	14 600	1 460	16 060
5/9/05	Brown	4 250	8 500	850	9 350
		11 550	23 100	2 310	25 410

Cash receipts journal

Date	Details	Cost price	Selling price	Debtors	GST	Bank
1/9/05	Sales	2 300	4 600		460	5 060
9/9/05	Brown			12 600		12 600
16/9/05	Black			8 450		8 450
26/9/05	Sales	1 600	3 200		320	3 520
		3 900	7 800	21 050	780	29 630

6

General ledger

Sales		
	30/9 Debtors	23 100
	Bank	7 800

Debtors Control		
30/9 Sales	25 410	30/9 Bank 21 050

GST Clearing		
	30/9 Debtors	2 310
	Sales	780

Debtors subsidiary ledger

Black		
30/9 Sales	16 060	30/9 Bank 12 600

Stock Control		
	30/9 Cost of GS	11 550
	Cost of GS	3 900

Cost of Goods Sold		
30/9 Stock	11 550	
Stock	3 900	

Bank		
30/9 Sund. Rec	29 630	

Brown		
30/9 Sales	9 350	30/9 Bank 8 450

7

Cash Payments Journal

Date	Details	Purchases	Creditors	GST	Bank
1/11/05	Aust Taxation Office			5 120	5 120
9/11/05	Sliding Windows		21 400		21 400
25/11/05	Purchases	8 000		800	8 800
		8 000	21 400	5 920	25 320

9 Purchases journal, Cash receipts journal, Sales journal, Cash payments journal, Subsidiary ledger

12 JOURNALS TO TRIAL BALANCE (1)

3

Purchases Journal

Date	Creditor	Purchases	GST	Total
2/8/05	Dog Kennels	4 500	450	4 950
9/8/05	Garden Sheds	9 700	970	10 670
		14 200	1 420	15 620
		Dr Stock	Dr GST	Cr Creditors

Cash payments journal (Note: there is also the gross method of discount format)

Date	Details	Purchases	Creditors	Disc rev	GST	Sundries	Bank
3/8/05	Wages					2 000	2 000
10/8/05	Dog Kennels		13 500	250			13 250
12/8/05	Cash Purchases	9 800			980		10 780
20/8/05	Aust Tax Office				10 900		10 900
		9 800	13 500	250	11 880	2 000	36 930
		Dr Stock	Dr Cred's	Cr Dis rev	Dr GST	Dr Wages	Cr Bank

General ledger

Creditors Control		
31/8 Bank/Dis	13 500	1/8 Balance 22 000
		31/8 Stock/GST 15 620

Stock Control		
1/8 Balance	36 000	
31/8 Cred's	14 200	
Bank	9 800	

Wages		
31/8 Bank	2 000	

Capital		
	31/8 Balance	10 600

Subsidiary Ledger

Dog Kennels		
10/8 Bank/Dis	13 500	1/8 Balance 15 000
		2/8 Stock 4 950

Bank		
1/8 Balance	7 500	31/8 Sundry Payts 36 930

GST Clearing		
31/8 Bank	11 880	1/8 Balance 10 900
Creditors	1 420	

Discount Revenue		
	31/8 Creditors	250

For this question, the net method for recording discount would show \$13 250 in the Cred'r col. of CPJ and the disc. Col is also posted to Creditors account.

Garden Sheds		
	1/8 Balance	7 000
	9/8 Stock	10 670

4

Trial balance

Reconciliation

	Debit	Credit	Creditors schedule at 31 Aug	
Creditors control		24 120	Dog Kennels	9 450
Stock control	60 000		Garden Sheds	17 670
Wages	2 000		Balance as per Control account	\$24 120
Capital		10 600		
Bank		29 430		
GST clearing	2 400			
Discount revenue		250		
	\$64 400	\$64 400		

13 JOURNALS TO TRIAL BALANCE (2)

3

Sales journal

Date	Debtor	Cost price	Selling price	GST	Total
12/10/05	White	200	600	60	660
15/10/05	Black	250	750	75	825
		450	1 350	135	1 485

Dr CoGS Cr Stock Cr Sales Cr GST Dr Debtors

Cash receipts journal

Date	Details	Cost price	Selling price	Debtors	Disc Exp	GST	Bank
21/10/05	Cash sales	400	1 200			120	1 320
14/10/05	Black			640	20		620
19/10/05	Cash sales	700	2 100			210	2 310
23/10/05	White			500	15		485
		1 100	3 300	1 140	35	330	4 735

(Formats may vary according to preference) (Gross method for recording discount)
Dr CoGS Cr Stock Cr Sales

Cr Debtors Dr Dis Exp Cr GST Dr Bank

General ledger

Debtors Control			
1/10 Balance	2 500	31/10 Bank/Dis	1 140
31/10 Sales	1 485		

Stock Control			
1/10 Balance	20 000	31/10 CoGS	450
		CoGS	1 100

Cost of Goods Sold			
31/10 Stock	450		
Stock	1100		

Sales			
	31/10 Debtors	1 350	
	Bank	3 300	

Subsidiary Ledger

White			
1/10 Balance	1 000	23/10 Bank/Dis	500
12/10 Sales	660		

4 Trial balance

	Debit	Credit	Debtors schedule at 31 October	
Debtors control	2 845		White	1 160
Stock control	18 450		Black	1 685
Cost of goods sold	1 550		Balance as per control account	\$2 845
Sales		4 650		
Bank	3 635			
GST Clearing		685		
Discount expense	354			
Capital		21 180		
	\$26 515	\$26 515		

5 Footing, Control account, Balancing, Clearing account, Trial balance, Trading stock, Sales journal

6a	iv	Debit Sales Returns	Credit Bank	b	ii	Debit Creditors	Credit Stock
		Debit Stock	Credit Cost of Goods Sold	c	i	Stock gains	

5

	Debit	Credit	Debtors schedule at 31 October	
Debtors control	2 845		White	1 160
Stock control	18 450		Black	1 685
Cost of goods sold	1 550		Balance as per control account	\$2 845
Sales		4 650		
Bank	3 635			
GST Clearing		685		
Discount expense	354			
Capital		21 180		
	\$26 515	\$26 515		

14 REPORTS FOR TRADING BUSINESSES (1)

4a Statement of financial performance

Sales	355 000	
Less Sales returns	5 720	349 280
Less Cost of goods sold		
Suppliers price	175 950	
Cartage in	340	176 290
Gross profit		172 990
Add Stock gain	250	
Less Stock adjustment		
Adjusted Gross profit	(4 000)	3 750
Less expenses		169 240
Delivery costs	4 310	
General expenses	162 000	166 310
Net profit		\$2 930

4b

Current Assets	
Stock control	19 100
Debtors control	29 410
	\$48 510
Current Liabilities	
Bank	4 260
Creditors	25 650
	\$29 910

4c Working capital has decreased from 1.77:1 to 1.62:1

5 Doc 1 – Sales, Increase debtors and increase stock, None, Increase profit, Increase proprietorship

Doc 2 – General, Increase non current assets, Increase liabilities, None, None.

6 True, False, Depends on method of recording, False, True, True, False, True, False.

5c The working capital ratio has changed from 2.4:1 to 2.5:1 (increased)

7a \$5 000 current liability, \$15 000 non current liability

7b Current liabilities because it does not belong to the business until it has been earned

7c Decrease assets, decrease proprietorship

7d Hold an advertising campaign costing \$20 000, resulting in increased sales of \$30 000 (depends on the % increase in advertising compared with % increase in sales) or terminate the services of one of the sales staff (could result in decrease in sales).

16 CLOSING ENTRIES

4

Creditors Control			
30/6 Bank	294 000	1/7 Balance	72 000
Balance	63 000	30/6 Stock	285 000
	\$357 000		\$357 000
		1/7 Balance	63 000

Bank			
1/7 Balance	1 010	30/6 Sundry Pay	263 000
30/6 Sundry Rec	247 000		
Balance	14 990		
	\$263 000		\$263 000
		1/7 Balance	14 990

5a

Rent			
30/6 Bank	24 000	30/6 Prep exp	2 000
		Profit & Loss	22 000
	\$24 000		\$24 000

Sales			
Profit & Loss	277 000	30/6 Bank	7 000
		Debtors	270 000
	\$277 000		\$277 000

15 REPORTS FOR TRADING BUSINESSES (2)

5 Statement of financial performance

Sales	559 000	
Less Sales returns	6 100	552 900
Less Cost of goods sold		
Suppliers price	254 000	
Cartage in	3 800	257 800
Gross profit		295 100
Less Expenses		
Delivery costs	5 300	
General expenses	149 700	
Telephone	5 100	
Advertising	16 000	
Bad debts	3 640	
Rent	28 200	
Insurance	4 400	
Depreciation of MV	8 400	
Depreciation of OF	2 025	221 765
		73 335
Add interest revenue		1 000
Net profit		\$74 335

Current Assets	
Bank	2 780
Stock control	43 500
Debtors control	66 360
Prepaid expenses	10 800
Accrued revenue	250
	\$123 690

Current Liabilities	
Creditors control	46 000
Accrued expenses	3 700
	\$49 700

Debtors Control			
1/7 Balance	91 000	30/6 Bad Debt	4 000
30/6 Sales	461 000	Bank	455 000
		Balance	93 000
	\$552 000		\$552 000
1/7 Balance	93 000		

Office Equipment			
1/7 Balance	40 000		
30/6 Sun Crs	20 000	30/6 Balance	60 000
	\$60 000		\$60 000

Sales Returns			
30/6 Debtors	1 590	Profit & Loss	1 590

Accrued Expenses			
	30/6 Wages	5 000	
	Gen exp	3 400	

Wages			
30/6 Bank	65 000	Profit & Loss	70 000
Acc exp	5 000		
	<u>\$70 000</u>		<u>\$70 000</u>

Prepaid Expenses			
30/6 Rent	2 000		
Gen exp	6 600		

General Expenses			
30/6 Bank	160 000	30/6 Prep exp	6 600
Acc exp	3 400	Profit & Loss	156 800
	<u>\$163 400</u>		<u>\$163 400</u>

Profit & Loss			
Sundry exp	309 290	Sund rev	277 000
		Capital	32 390
	<u>\$309 290</u>		<u>\$309 290</u>

Cost of Goods Sold			
30/6 Stock	59 000	Profit & Loss	59 000

Stock			
1/7 Balance	75 000	30/6 Cost of GS	59 000
30/6 Creditors	65 000		

Capital			
Profit & Loss	32 390	1/7 Balance	150 000

Trading			

General Journal

		DEBIT	CREDIT			Debit	Credit
30/6	Sales	277 000		30/6	Capital	32 390	
	Profit & Loss		277 000		Profit \$ loss		32 390
	Closing transfer				Transfer of Net Loss		
	Profit & Loss	309 290					
	Rent		22 000				
	Sales ret		1 590				
	Wages		70 000				
	Cost of GS		59 000				
	Gen exp		156 800				
	Closing transfer						

A variation to this method of closing is to use the trading account for the transfer of sales and cost of goods sold and the calculation of gross profit which is then transferred to profit and loss.

17 STATEMENT OF CASH FLOWS

- 2
 - Wages paid during period
 - Drawings of cash by owner
 - Collection of cash from debtors
 - Rent paid during period
 - Payments to creditors
 - Payment of GST owing to ATO from previous period
 - Deposit on work yet to be started
 - Cash received from sale of equipment
 - Deposit on motor vehicle
 - Purchase of office equipment for cash
- 3 Joshua Enterprises, Statement of financial performance for year ended 30 June 2005

OPERATING ACTIVITIES		
Interest paid	(4 950)	
Wages paid	(176 000)	
Collections from debtors	614 000	
Cash sales	206 000	
Payments to Creditors	(398 000)	
General cash expenses	(214 000)	
Net flows from Operating Activities		27 050
INVESTING ACTIVITIES		
Deposit on motor vehicle	(20 000)	
Proceeds from sale of equipment	15 000	
Net flows from Investing Activities		(5 000)
FINANCING ACTIVITIES		
Loan repayments	(7 200)	
Loan – Bank	10 000	
Drawings	(60 000)	
Net flows from Financing Activities		(57 200)
Net flows for period		(35 150)
Bank balance at 1 July 2004		(21 450)
Bank Balance at 30 June 2005		<u>\$(56 600)</u>

- 4 Cash position has deteriorated during the period. The financing activities are draining cash (drawings). The investing activities used more on the deposit on the MV than was received from the sale of equipment. There is a need to look at the profit (not known) but total sales \$813 000 and cash expenses before adjustments and non cash items total \$794 950 so the drawings are likely to be far higher than the profit.
- 5
 - a Liquidity position – in funds at 1/7/03 \$23 000, in overdraft by 30/6/04 (18 000), into funds again by 30/6/05 \$11 000. An overall deterioration.
 - b 2004 – funding mainly from operating but insufficient to cover outflows
2005 – funding from operating far greater than outflows from investing and financing
 - c Drawings in 2004 greater than profit by \$10 000 – greatest drain of cash
Drawings in 2005 are less than profit – drawings decreased \$5 000 and profit increased \$9 000 so there is a turnaround of \$14 000
- 6 Funds from operating increased 118% over the period, - profit increased, collections from debtors increased (2%) but not as much as sales (7%) therefore debtors collections are still getting slower.
- 7 Payments to creditors increasing, fall in collections from debtors, cash expenses increasing.



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